IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 72/BB/2017

U/S 230 to 232 of the Companies Act, 2013

Order Delivered on: 16th March, 2018

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

LAPP IT SERVICES PRIVATE LIMITED

AND

LAPP INDIA PRIVATE LIMITED

Coram: 1. Hon'ble Shri RatakondaMurali, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

LAPP INDIA PRIVATE LIMITED
Plot no.98, J&K,
Jigani Industrial estate, II Phase, Jigani,
Anekal Taluk, Bangalore-560105 **-Petitioner Company No.1/Transferee Company**

LAPP IT SERVICES PRIVATE LIMITED
Plot no.98, J&K,
Jigani Industrial estate, II Phase, Jigani,
Anekal Taluk, Bangalore-560105 **- Petitioner Company No.2/Transferor Company**

Parties Present : 1) Mr. Pramod.S.M
PCS for the Petitioner Companies

2) Mrs.Prema Hatti, Advocate
Representative for the Registrar of Companies & Regional Director

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) – Author**

Heard on:

ORDER

This Company Petition was filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation whereby Lapp IT Services Private Limited (Petitioner Company No.2/ Transferor Company) being merged with Lapp India Private Limited (Petitioner Company No.1/Transferee Company) so has to be binding on all the Shareholders and the secured and unsecured creditors, employees and all other relevant parties of the Petitioner Companies.

The averments made in the Company Petitions are briefly described hereunder:-

The Petitioner Companies seek an order for sanctioning the Scheme of Amalgamation of Lapp IT Services Private Limited (Petitioner Company No.2/ Transferor Company) with Lapp India Private Limited (Petitioner Company No.1/Transferee Company).The Scheme of Amalgamation is shown as **Annexure A.**

The Petitioner Company No.1 / Transferee Company was incorporated on 15th May, 1996 under the name and style as **'Lapp Kabel India Private Limited'** with the Registrar of Companies, Karnataka. Subsequently on 29th September, 1999 the name of the company was changed to Lapp India Private Limited. The Registered office is situated at 98, J&K Jigani Industrial Est., Phase II, Jigani Anekal Taluk, Bangalore-560105.

The Petitioner/Transferee Company's Objects as set out in its Memorandum of Association is "To carry on anywhere in India or abroad, the business of manufacturing, producing, processing, installing, remodeling, importing, exporting, distributing, trading, repacking, wholeselling, retailing, merchandising, dealing, acquiring, purchasing, exchanging, hiring, fixing, leasing, letting on hire of all kinds and varieties of oil resistant control cables, continuous flex oil resistant cables, wires, cables and cordage, electronic cables, coil, cords, cordsets, metallic and non-metallic connectors, cable track and cable clamps, cables identification and application systems and other accessories".

The Copy of the Memorandum & Articles of Association of the Transferee Company is shown in **Annexure D.**

Authorised share capital of the Petitioner Company No.1 /Transferee Company as stated in the petition is Rs. 64,00,00,000/- divided in to 50,00,000 equity share of Rs.100/- each and 14,00,000/- Preference share of Rs.100/- each and issued subscribed and paid up

share capital of Rs. 18,08,99,300/- divided in to 18,08,993 equity shares of Rs.100/- each fully paid up.

The Copy of Audited Financials of the Petitioner/ Transferee company as on 31st March, 2016 is shown in **Annexure E.**

The Petitioner Company No.2/Transferor Company was incorporated on 26th November, 2008 as a Private Limited Company under the name and style as Lapp IT Services Private Limited. The Registered office of the Petitioner Company No.2/Transferor Company is situated at Plot No.98, J&K, Jigani Industrial Area, Phase II, Jigani, Bangalore South, Bangalore-560105.

The Petitioner Company No.2/Transferor Company's Objects as set out in its Memorandum of Association is "To carry on the activities of providing IT services in Enterprise Resource Planning such as SAP, communication network services such as WAN/LAN, implementation and support of SAP in cable, aviation and manufacturing vehicles and other industries."

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Transferor Company is shown as **Annexure B.**

Authorised share capital of the Transferor Company as stated in the petition is Rs.1,00,00,000 /- divided in to 10,00,000 equity share of Rs. 10/- each and issued subscribed and paid up share capital of Rs.80,00,000/- divided in to 8,00,000 equity shares of Rs.10/- each.

The Copy of Audited Financials of the Petitioner Company No.2/Transferor Company as on 30th September, 2016and is shown in **Annexure C.**

The Board of Directors of the Petitioner Company No.1/Transferee Company and Petitioner Company No.2/Transferor Company have approved and adopted the Scheme of Amalgamation at its respective meeting held on 1st February, 2017. The copies of Board Resolution are shown as **ANNEXURE – F & G.**

The Transferee Company had filed CA(CAA).No.50/17 before this Tribunal for seeking to convene the meeting of Equity Shareholders, Secured Creditors and Unsecured

Creditors of the Applicant companies. This Tribunal vide separate orders dated 8th August, 2017 allowed the Application and directed that the meeting of Equity Shareholders & unsecured Creditors of the Transferor Company be held on 19th September, 2017 at 3:00 P.M. & 4:00 P.M respectively and Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferee Company be held on 19th September, 2017 at 11:00 A.M, 12:00P.M & 1:00 P.M.. Copy of order passed by this Tribunal in CA(CAA)No.50/BB/2017 is shown as **Annexure-I in CP(CAA)No.72/BB/17.**

This Tribunal vide order dated 11th December, 2017 directed the Petitioner Companies to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies, Income Tax Authorities and Official Liquidator, and also to have an advertisement of Notice of Petition be carried out in the '**Financial Express**', an English daily Newspaper and '**Udaya Vani**' a Kannada daily Newspaper and stating the next date of hearing was on 22nd January, 2018.

In pursuant to the same the PCS for the Petitioner Companies has filed a memo **dated 17th January, 2018** by the Petitioner Companies for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**Financial Express**', an English daily Newspaper and '**Udaya Vani**' a Kannada daily Newspaper.

The Registrar of Companies, Karnataka, Bangalore vide letter no's. ROCB/ Legal/CAA/50/BB/2017 dated 11th September, 2017 wherein has made some observations which is as follows:

1. GNL-1 not filed by the Transferee Company.

The Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 22nd November, 2017 and stated that

i) The office of the Regional Director vide letter number No.3/Karnataka/Amal/787/RD(SER)/2017/3228 dated 3.11.2017 requested the petitioner company to send

certain information and documents for examination of the petitions and for making appropriate representations thereon. However the petitioner company has not furnished the requisite information and documents till 3.11.2017. A copy of the said letter is enclosed. In view of the above, the Directorate is unable to provide its conclusive representations/comments on the scheme.

The Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 11th December, 2017 and stated that

i) The office of the Regional Director vide letter number No.3/Karnataka/Amal/787/RD(SER)/2017/3493 dated 17th November, 2017 and subsequent letter vide Ref:F.No.3(B)/Amal/787/RD(SER)/2017 dated 6th December, 2017 stating therein that he being the competent authority on behalf of the Central Government has examined the scheme with reference to the material papers available to him together with the observations on the scheme made by the Registrar of companies, Karnataka, Bangalore vide in his report No.ROCB/Legal/CAA/50/BB/2017 dated 4.10.2017 and the petitioner company's letter dated 28.11.2017 in which the petitioner submitted the information called for by the Directorate. In this regard the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad has instructed me to file an affidavit before this Hon'ble Tribunal stating that the Directorate has no objection to the instant Scheme.

On the prayer made by the Official Liquidator in OLR no. 144/17 in CP (CAA) 72/BB/2017, and as per order dated 22nd January, 2018 M/s.N.Tatia & Associates, Chartered

Accountants was appointed by Official Liquidator to scrutinize the Books of Accounts and records of Petitioner Company No.2/Transferor Company. Upon Scrutiny of Books, records and other material made available by the Transferor Company to M/s.N.Tatia & Associates, Chartered Accountants who submitted the report.

Pursuant to the same, the Official Liquidator has filed a Report dated 13th February, 2018 in OLR.No.21/2018 stating that M/s.N.Tatia & Associates, Chartered Accountants has submitted Report dated 12th February, 2018 which is marked as **Annexure A,** wherein the Chartered Accountant has concluded in his report that:

i.) "We have obtained all the information and explanation, which to the best our knowledge and belief were necessary for the purpose of scrutiny of books and papers of Transferor Company.

ii.) In our opinion proper books of accounts, papers, statutory registers, minutes and other related records as required by law have been kept by the Transferor Company so far as appears from our examinations of those books and records".

iii.) On scrutiny of books of accounts, papers, statutory registers and other related records of the company we are of the opinion that the affairs of the company have not been conducted in a manner prejudicial to the interest of the members of the Company or public interest.

The PCS for the Petitioner Companies has filed a memo dated 6th December, 2017 submitting the Letter received from RBI to Lapp India Private Limited and Lapp IT Services Private Limited.

Reserve Bank of India vide letter dated 4th November, 2017 stated that any cross border transaction related to a Scheme of arrangement or amalgamation undertaken under the Companies Act, 2013 should conform to provisions under FEMA, 1999.

The PCS for the Petitioner Companies have filed copy of Accounting Treatment Certificate **dated 20.9.2017** of the Auditor stating that "Based on our examination and according to the information and explanations given to us we are of the opinion that the accounting treatment contained in clause 14 of the aforesaid Revised Scheme is in compliance with the applicable

Accounting Standard notified under section 133 of the Companies Act,2013 r/w rule made there under, and other generally Accepted Accounting Principles as applicable. The Auditors Certificate on Accounting Treatment is shown as **Annexure-J.**

After hearing the PCS for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved,

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company for all the state and interest of the Petitioner/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The approval of the scheme is subject to the compliance of FEMA and approval of RBI.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st October, 2016.

The Transferee Company will ensure the filing of GNL-1.

The Transferor Company or its Authorized Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Company to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

16/3/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

16.3.18

(RATAKONDA MURALI)
MEMBER, JUDICIAL